

2005. The number grew four-fold to 69 million by 2018. By 2030, that is expected to jump a further 185% to 197 million, with nearly 7% of India's households in the high-income bracket.

These projections have got the consumer goods industry dreaming, despite the temporary blip in recent years. "India's consumer market is poised for a significant transformation," says Rohit Jawa, CEO and Managing Director of India's largest FMCG firm Hindustan Unilever.

A long-term inflection point is clearly visible, Jawa says, "driven by growing affluence, improved access to digital and physical infrastructure, and median age of less than 30 years. India's consumer market will likely be characterised by democratisation of aspirations for a better life and shift towards sophisticated consumption patterns," he tells *Business Today*.

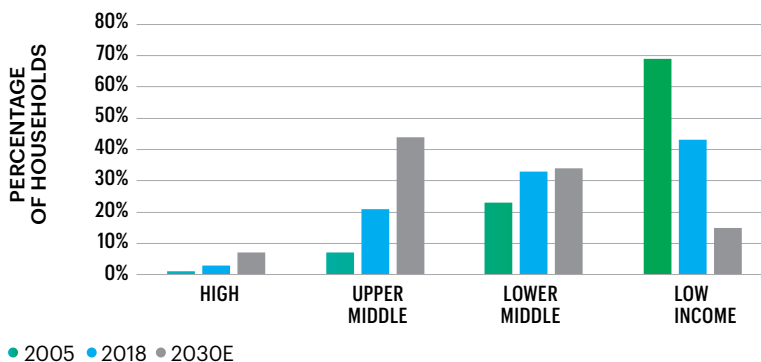
According to Saugata Gupta, MD & CEO of Marico, with a large and young population, India has the potential to become one of the world's largest consumer markets. "We envision the Indian consumer market undergoing a profound transformation. It is on the cusp of significant growth in the coming years," he says.

Data suggests that the rapid growth in urbanisation will further aid this trend. Around 40% of Indians are expected to live in urban centres by 2030, up from 34% in 2018 and 28% in 2005.

The country not only has the largest population in the world at 1.4 billion, it also has the largest number of young consumers. WEF's projections show that while in 2018, about 82% of the population comprised those aged less than 50, by 2030, the share will dip only marginally to 77%, with the 15-49 age group comprising 53% of the population. In comparison, 45% of the US

RIISING CASH FLOW

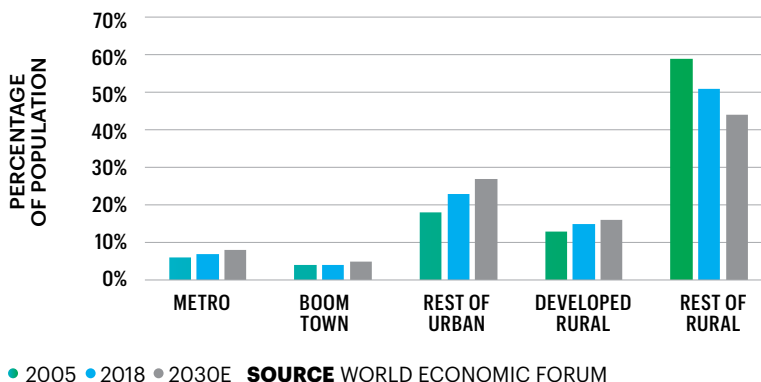
- Upper-middle income households' share is expected to jump by 2030
- The share of low-income households is expected to see a big fall



NOTE LOW INCOME: <\$4,000, LOWER-MIDDLE: \$4,000-8,500, UPPER-MIDDLE: \$8,500-40,000, HIGH INCOME: >\$40,000; INCOME PER HOUSEHOLD IN REAL TERMS
E: ESTIMATES **SOURCE** WORLD ECONOMIC FORUM

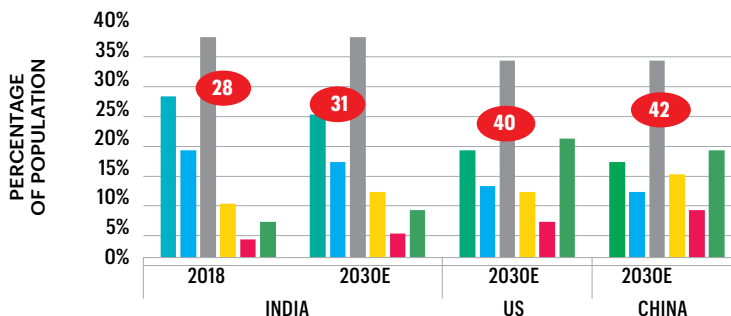
THE URBAN SHIFT

- India's population is expected to continue the journey to cities and towns
- Villages may see a big dip in population



THE AGE OF YOUTH

- India's youth advantage is set to continue in the coming years
- In 2030, its median age may still be much less than the US and China



AGE GROUPS ● <15 ● 15-24 ● 25-49 ● 50-59 ● 60-64 ● >64; E: ESTIMATES
FIGURES IN BUBBLES SHOW MEDIAN AGE **SOURCE** WORLD ECONOMIC FORUM